

Behavioral Responses to Taxation of Inherited Property

Sarah Baker and Kristy Kim

University of California, Berkeley

April 29, 2025

Research Question(s)

In general:

- 1 Inheritance is an important channel for wealth accumulation & inequality.
- 2 If we want to address inequality by taxing inheritance, we need to know how people will change their behavior in response.

In this paper:

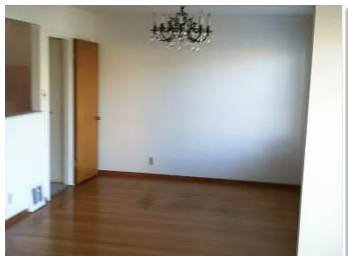
- 1 How do parents respond to a large increase in taxation of inherited property?
- 2 Which groups are most responsive?

Setting

■ California Property Tax System

- ▶ Property is taxed at its purchase price +2% per year
- ▶ Property's taxable value << market value 

Market vs. Assessed Value in CA

[Back](#)[Edit](#) [Save](#) [Share](#)

2 bd | 1.5 ba | 1,750 sqft

480 Diamond St, San Francisco, CA 94114

● **Off market** Zestimate®: **\$1,849,700** Rent Zestimate®: **\$5,994**

Est. refi payment: \$10,499/mo [Refinance your loan](#)

[Home value](#) [Owner tools](#) [Home details](#) [Neighborhood details](#)

Public tax history

Year	Property Taxes	Tax Assessment
2022	\$1,752 (+2.1%)	\$82,024 (+2%)
2021	\$1,717 (-4.4%)	\$80,416 (+1%)
2020	\$1,796 (+6.1%)	\$79,593 (+2%)

■ $\tau = 0.09\%$

Setting

■ California Property Tax System

- ▶ Property is taxed at its purchase price +2% per year
- ▶ Property's taxable value << market value Zillow
- ▶ Property is reassessed to market value when sold
- ▶ Previously: Parent-child property transfers allowed without reassessment

■ Prop. 19 (2020): Parent-child transfers will trigger reassessment

- ▶ Eliminates reassessment exemption for most parent-child property transfers
- ▶ Meant to increase property tax revenue
- ▶ **Passed (51.1%) November 2020, effective February 2021**
- ▶ Created a "transition window" for parents to respond

■ Unique setting because parents are gifting tangible, all-or-nothing asset

Would You Give Your Home to Your Child Today...



(a) 1819 Baker St, San Francisco

...to save them \$1,600 (+2%/yr) in annual taxes?



(b) 2631 Baker St, San Francisco

...to save them \$11,500 (+2%/yr) in annual taxes?

Preview of Findings

- Document a large mass of transfers in San Francisco and Los Angeles County—particularly in wealthy areas
- Use a bunching approach to estimate a very large behavioral response:
 $e > 700$
- Effectively delayed revenue gains from Prop 19 by 13-18 months
- Reduced government revenue by \$2 Bn per county

Outline

- 1 Background
- 2 Empirical Results
- 3 Response Heterogeneity
- 4 Framework & Policy Implications
- 5 Conclusion

Motivation: Transfers “Flood” In

California's new Prop. 19 property-transfer law spurs flood of family filings

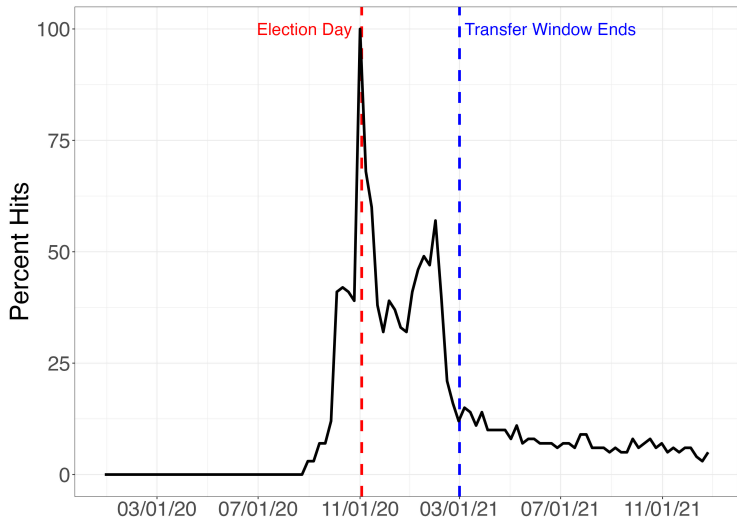


SLIDE 1 OF 4

A real estate sign is shown in front of a home for sale in San Francisco on Feb. 18, 2020. Californians approved a ballot measure that adds and strips exemptions to property taxes, giving more breaks to seniors, disabled and wildfire victims when they move and taking them away from people who turn inheritances into investment homes. Proposition 19, which received 51% of the votes, is expected to produce additional revenue for schools, local governments and firefighting districts. (AP Photo/Jeff Chiu, File)

Figure: North Bay Business Journal, May 2021

Motivation: Google Trends



California Proposition 19, Property Tax Transfers, Exemptions, and Revenue for Wildfire Agencies and Counties Amendment (2020)

Transfer Tradeoffs

■ **Old System:** Pre-Prop 19

- ▶ Parent-child property transfers allowed without reassessment

■ **New System:** Post-Prop 19 (2020)

- ▶ Eliminates reassessment exemption for most parent-child property transfers
- ▶ **Passed (51.1%) November 2020, effective February 2021**
- ▶ Created a “transition window” for parents to respond

■ Capital gains taxes will be addressed in model

Transfer Tradeoffs: Taxes, Control

[Equation](#)[Figure](#)[Sales](#)[Time to Sale](#)

Category	Transfer Before Prop 19	Transfer at Death
Property Taxes	Lower (Not reassessed)	Higher (Reassessed)
Capital Gains Taxes	Higher (No step-up in basis)	Lower (Step-up in basis)
Parental Asset Control	Lower	Higher

- “Step-up in basis”: if property is transferred at death and later sold, child only pays capital gains taxes on the asset's appreciation *since death*

Literature

- **Proposition 13 lock-in:** Wasi and White (2005); Ferreira (2010)
- **Gift and estate taxation:** Glogowsky (2021); Escobar et al. (2019); Goupille-Lebret and Infante (2018); Mas-Montserrat (2019); Kopczuk (2016, 2013); Poterba (2001); McGarry (2001); Kopczuk and Slemrod (2000)
 - ▶ + Theory of optimal inheritance taxation: Piketty and Saez (2013)
- **Timing of inheritance transfers:** Bernheim et al. (2004); Joulfaian and McGarry (2004); Joulfaian (2005); Locks (2024)
 - ▶ + Investment in durable assets: House and Shapiro (2008)
 - ▶ + Capital gains: Levy (2021), Msall and Næss (2025)
- **Property tax regressivity:** Avenancio-León and Howard (2022); Amornsiripanitch (2020)

Data

- County-level assessor data on properties (i.e. property characteristics) [2015–2022];
- County-level transfer data (i.e. property, date, type of transfer, type of property);
- Zillow data on market-level property valuation;
 - ▶ For SF County, the universe of properties;
 - ▶ For LA County, properties ever transferred;
- Hope to expand to other counties.

Summary Statistics

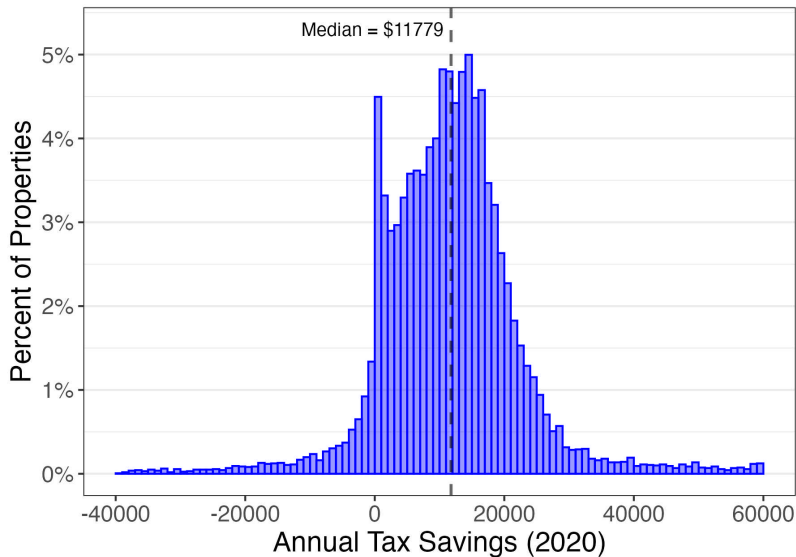
Table: Sample Averages, 2020

	Full Sample		Ever Transferred	
	SF	LA	SF	LA
Market Value	\$1,828,906		\$1,820,208	\$854,346
Taxable Value	\$929,227	\$567,626	\$735,005	\$308,129
Untaxed Value	\$900,564		\$1,086,882	\$543,048
Effective Tax Rate	0.82%		0.63%	0.44%
Years Since Sale	20.33	20.55	22.32	24.61
Sqft	2234.91	2063.29	2583.03	1718.9
Median HH Income	\$145,003	\$87,207	\$139,809	\$82,057

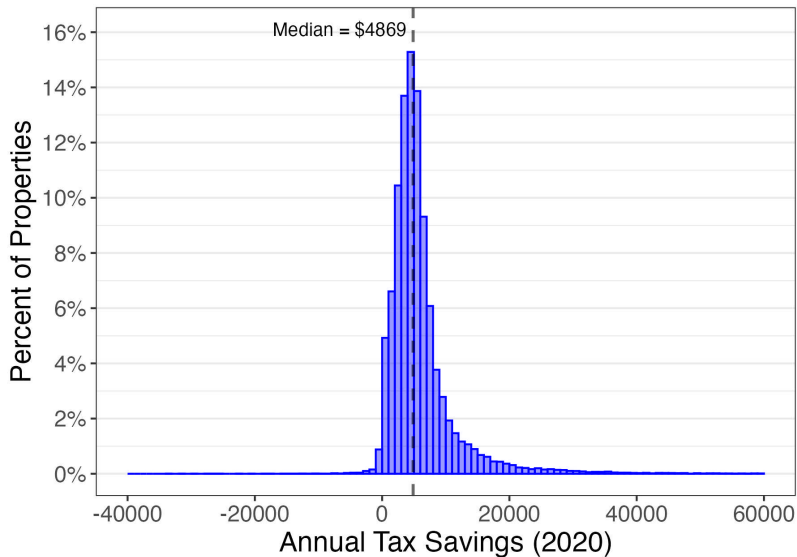
- Average untaxed value \$500,000–\$1m
- Effective tax rates ($= \text{property taxes} / \text{market value}$) are well below 1%
- SF homes are more valuable; wealthier residents

Potential Annual Tax Savings in 2020 (SF)

Full Sample



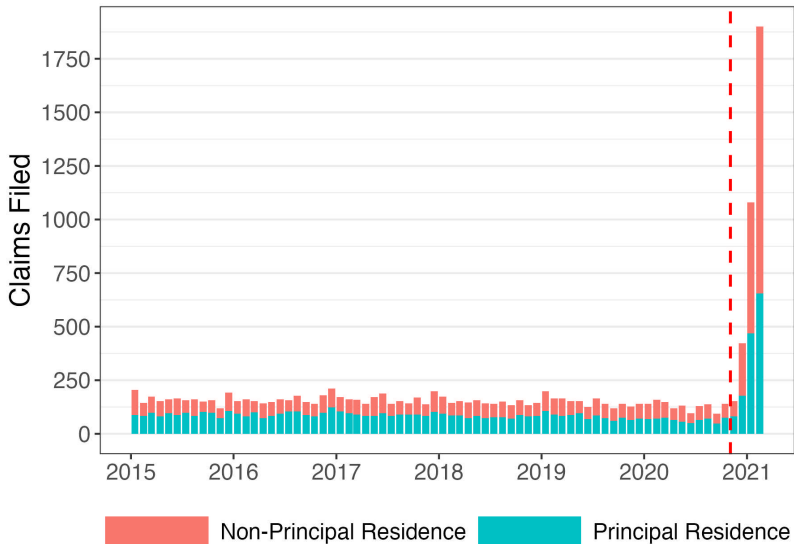
Potential Annual Tax Savings in 2020 (LA)



Outline

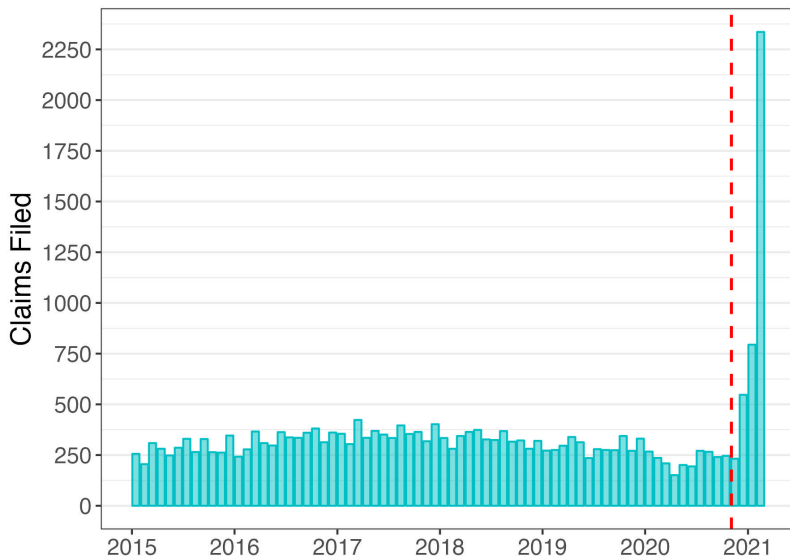
- 1 Background
- 2 Empirical Results
- 3 Response Heterogeneity
- 4 Framework & Policy Implications
- 5 Conclusion

Number of Transfers in SF County by Property Type



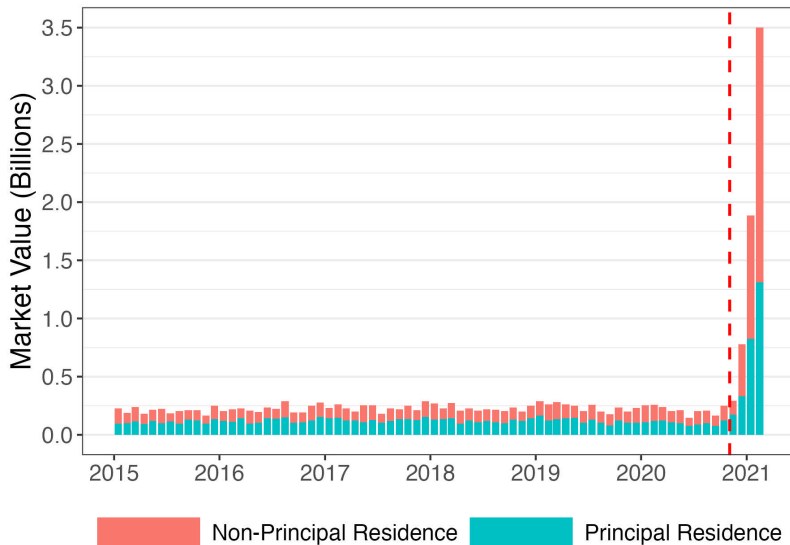
■ Equivalent to **18 months** of additional transfers

Number of Transfers in LA County



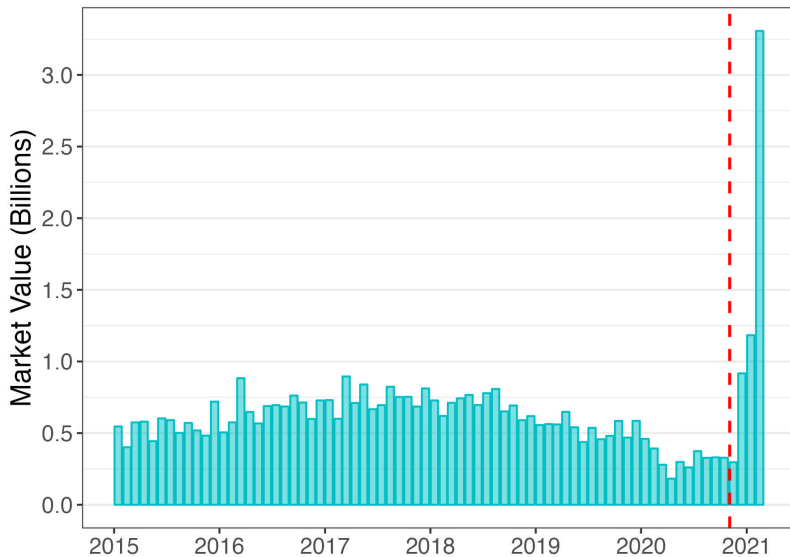
■ Equivalent to **13 months** of additional transfers

Total Market Value of Transfers in SF



■ Equivalent to an additional **\$5.5 billion** transferred

Total Market Value of Transfers in LA



■ Equivalent to an additional **\$4.7 billion** transferred

Elasticity Calculations

Additional e's

Elasticity w.r.t. the change in Market Value (MV) of transferred homes:

$$e_{MV} = \frac{MV_W - MV_C}{MV_C} \times \frac{1}{\log(1 - \tau_0) - \log(1 - \tau_1)}$$

County	τ_0			Market Value (Bn)		e
	Sample	Control	Window	Control	Window	Market Value
SF	0.63	0.43	0.47	0.96	6.48	781
LA	0.45	0.63	0.45	0.91	5.62	714

⇒ **Lower bound** due to lack of capital gains consideration; capital gains trade-off should decrease responsiveness

Benchmark to the Literature

Permanent: $e < 1$

Authors	Context	e
Kopczuk (2013)	Meta-study on estate size elasticity at death	0.1-0.2
Goupille-Lebret and Infante (2018)	Notched inheritance tax schedule by age on retirement income	0.23-0.36
Glogowsky (2021)	Kinked inheritance tax schedule	0.1

Transitory: $e \rightarrow \infty$

Benchmark to the Literature

Permanent: $e < 1$

Transitory: $e \rightarrow \infty$

Authors	Context	e
Joulfaian and McGarry (2004)	Future increase in gift tax	8.4
Locks (2024)	Future increase in inheritance taxes	148
Baker and Kim (2025)	Future increase in property inheritance taxes	>700

Outline

- 1 Background
- 2 Empirical Results
- 3 Response Heterogeneity
- 4 Framework & Policy Implications
- 5 Conclusion

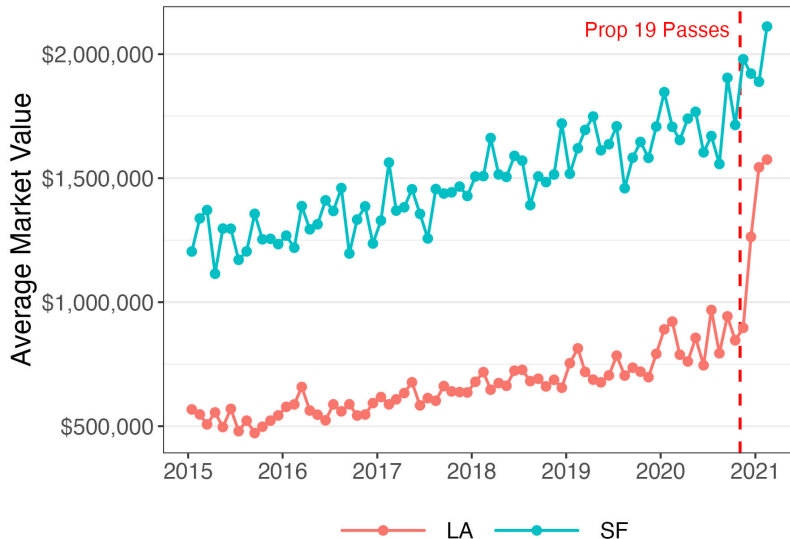
Who Responded in the Transfer Window?

1 Home Characteristics

2 Income

3 Race

How Are Window Transfer Homes Different?



How Are Window Transfer Homes Different?

Table: Summary Statistics, Window vs. Prior-Year Transfers

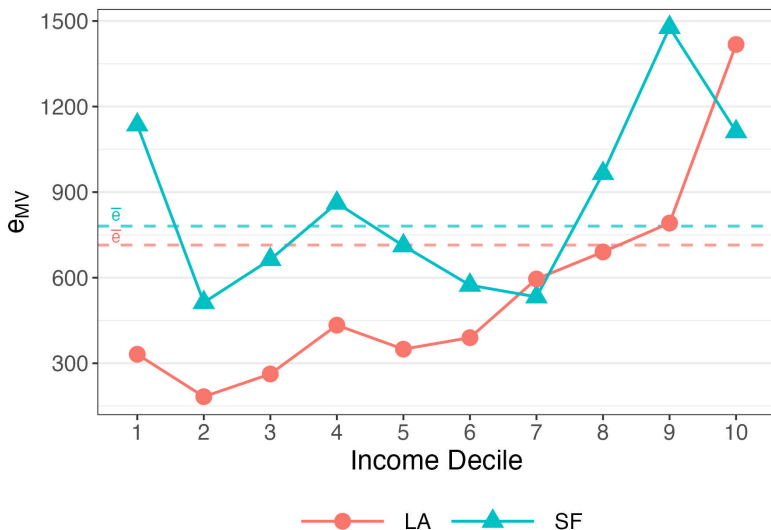
	Baseline Mean SF	Difference in window rel. prior year SF	Baseline Mean LA	Difference in window rel. prior year LA
Effective tax rate	0.35	0.05 (0.04)	0.53	-0.15*** (0.01)
Assessed value (in 2020 USD)	520,396	17,817 (40,811)	452,237	58,638* (35,131)
Market value (in 2020 USD)	1,734,727	172,013*** (63,381)	828,563	574,043*** (39,374)
Years since last sale	15	5.33*** (0.83)	20	8.40*** (0.75)
No. beds	1	0.09 (0.11)	3	0.59*** (0.07)
No. baths	3	-0.02 (0.32)	2	0.65*** (0.06)
Property size (sq. ft.)	2,555	18.97 (230.84)	1,691	570.64*** (46.40)
Median HH Income (Tract)	139,549	-1,934.54 (2,178.90)	84,478	8,468.51*** (1,087.82)
Observations		3,489		4,884

■ Transition window homes are \$170k more valuable in SF; \$570k in LA

■ Transition window homes are larger, more valuable in LA

Elasticity of Market Value by Income

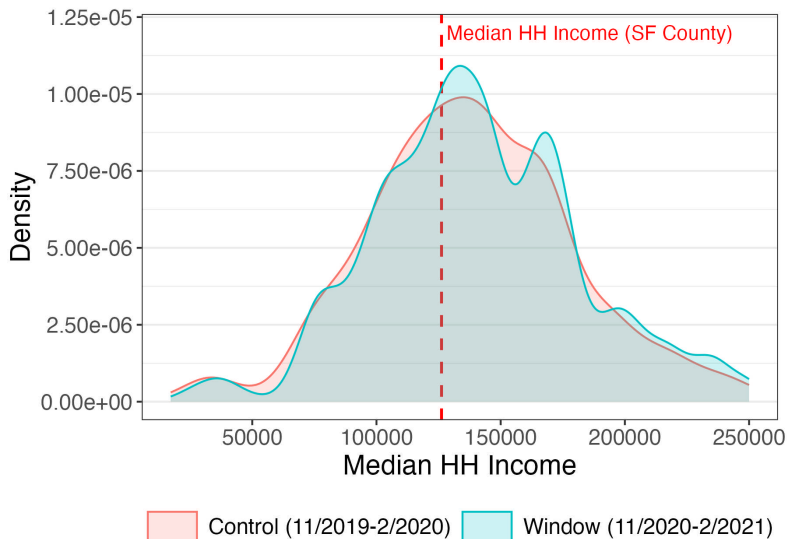
Claims



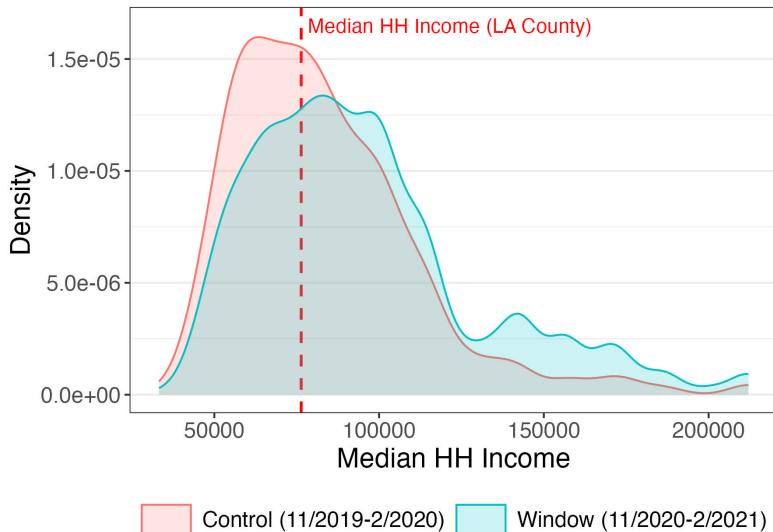
■ Elasticity highest in highest income deciles

Claim Density by Income (SF)

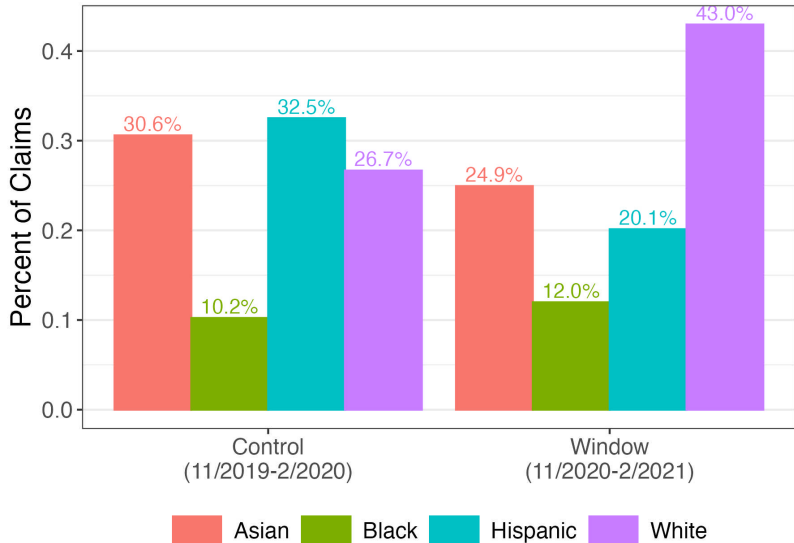
Map



Claim Density by Income (LA) [Map](#)

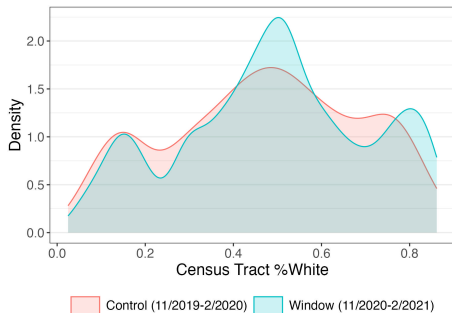


Transfers by Predicted Race (LA)

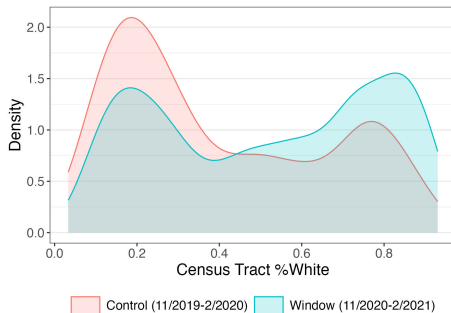


■ White share increases in window, Hispanic share declines

Transfers by Tract Proportion White



(a) San Francisco County



(b) Los Angeles County

Outline

- 1 Background
- 2 Empirical Results
- 3 Response Heterogeneity
- 4 Framework & Policy Implications
- 5 Conclusion

Framework: Transfer Before Prop 19 or at Death?

Dimension	Transfer Before Prop 19	Transfer At Death
Home Consumption	Lower for parent Higher for child	Higher for parent Lower for child
Property Taxes	Same until death Lower from death to sale	Same until death Higher from death to sale
Capital Gains Taxes	Higher	Lower

⇒ Transfer now if: PropTax Savings – Some Utility > CapGains Increase

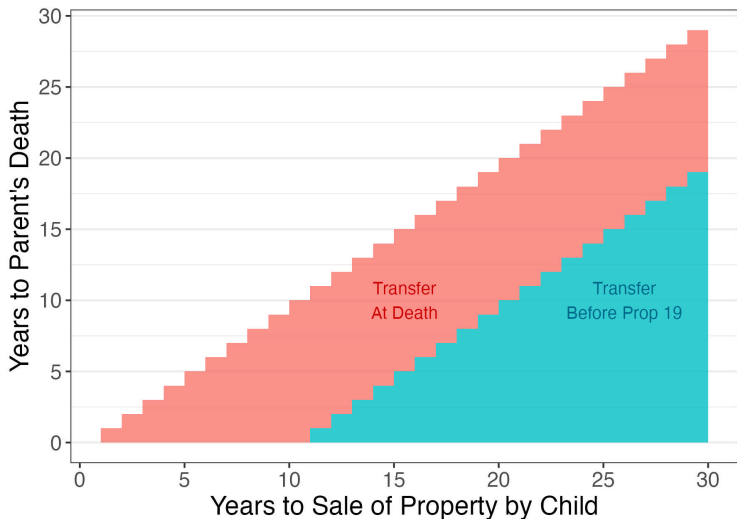
Framework: Transfer Before Prop 19 or at Death?

Dimension	Transfer Before Prop 19	Transfer At Death
Home Consumption	$q \times \sum_{t=0}^{t=d} \rho^t U_p$ $(1 - q) \sum_{t=0}^{t=d} \rho^t U_c$ $+ \sum_{t=d}^{t=\text{sale}} \rho^t U_c$	$\sum_{t=0}^{t=d} \rho^t U_p$ $\sum_{t=d}^{t=\text{sale}} \rho^t U_c$
Property Taxes	$\sum_{t=0}^{t=d} \rho^t \tau_p TV_0 \times 1.02^t$ $\sum_{t=d}^{t=\text{sale}} \rho^t \tau_p TV_0 \times 1.02^t$	$\sum_{t=0}^{t=d} \rho^t \tau_p TV_0 \times 1.02^t$ $\sum_{t=d}^{t=\text{sale}} \rho^t \tau_p MV_d \times 1.02^{t-d}$
Capital Gains Taxes	$\rho^t \tau_{cg} [MV_{\text{sale}} - PP]$	$\rho^t \tau_{cg} [MV_{\text{sale}} - MV_d]$

⇒ Transfer now if: PropTax Savings – Some Utility > CapGains Increase

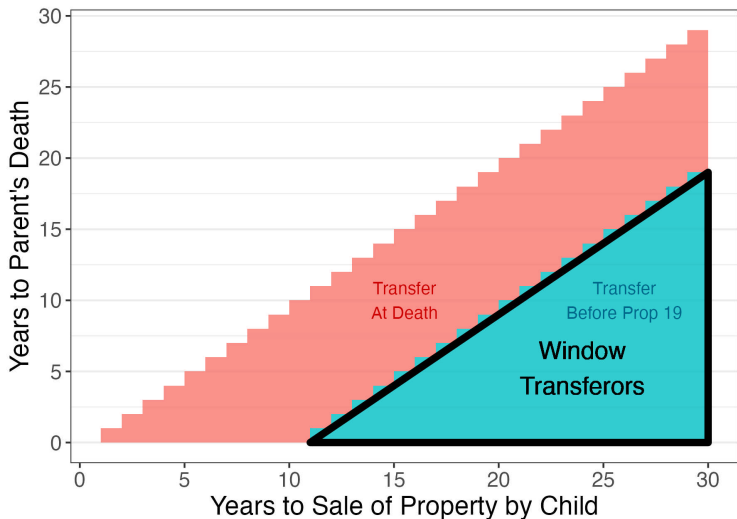
$$\sum_{t=d}^{t=\text{sale}} \rho^t \tau_p 1.02^t \left[\frac{MV_d}{1.02^d} - TV_0 \right] - \sum_{t=0}^{t=d} \rho^t (1 - q) [U_p - U_c] > \rho^t \tau_{cg} [MV_d - PP]$$

Property Taxes vs. Capital Gains (Cash Only)



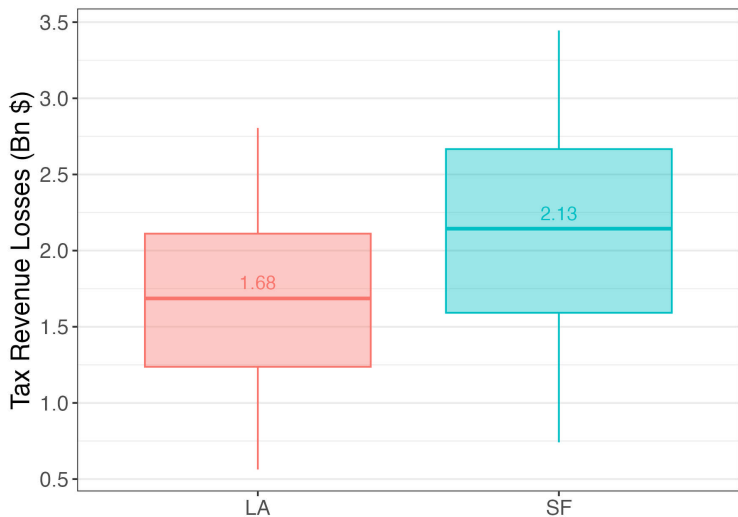
$$\sum_{t=d}^{t=\text{sale}} \rho^t \tau_p 1.02^t \left[\frac{MV_d}{1.02^d} - TV_0 \right] - \sum_{t=0}^{t=d} \rho^t (1-q) [U_p - U_c] > \rho^t \tau_{cg} [MV_d - PP]$$

Property Taxes vs. Capital Gains (Cash Only)



$$\sum_{t=d}^{t=\text{sale}} \rho^t \tau_p 1.02^t \left[\frac{MV_d}{1.02^d} - TV_0 \right] - \sum_{t=0}^{t=d} \rho^t (1-q) [U_p - U_c] > \rho^t \tau_{cg} [MV_d - PP]$$

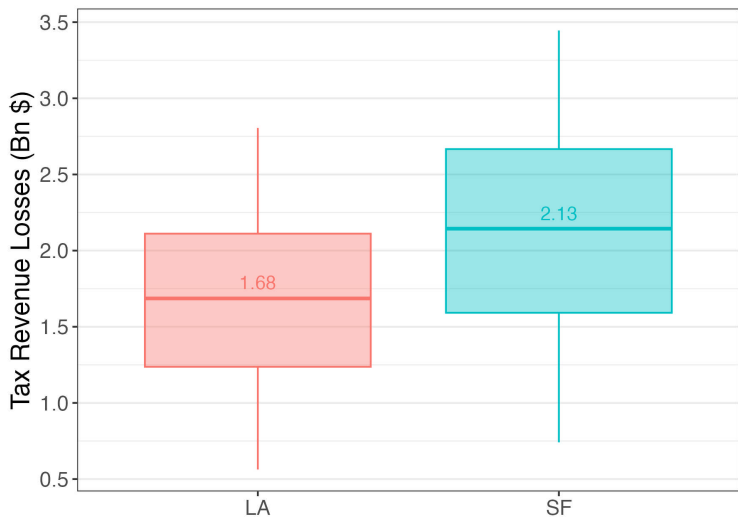
Estimated Tax Revenue Losses 3D Plot



$$\sum_{t=d}^{t=\text{sale}} \rho^t \tau_p 1.02^t \left[\frac{\overline{MV}_d}{1.02^d} - \overline{TV}_0 \right] - \sum_{t=0}^{t=d} \rho^t (1-q) [U_p - U_c] > \rho^t \tau_{cg} [MV_d - PP]$$

Estimated Tax Revenue Losses

3D Plot



FY 2021 Prop tax revenue: \$17.3 Bn (LA), \$3 Bn (SF)

Policy Implications

- Transition window **delayed** expected government revenue by 13-18 months
- Transition window **reduced** government revenue by \$2 Bn per county, 10% (LA) and 70% (SF) of annual property tax revenue
- Who will respond in the transition window?
 - ▶ In theory: parent who believes their kid won't sell, parent who is closer to death, parent who is not consuming the house
 - ▶ In practice: wealthy, white

Outline

- 1 Background
- 2 Empirical Results
- 3 Response Heterogeneity
- 4 Framework & Policy Implications
- 5 Conclusion

Conclusion

- Large behavioral response to future property inheritance tax increase
 - ▶ $e > 700$
- Delayed revenue gains by 13-18 months, reduced revenue by \$2 Bn per county
- Behavioral response was concentrated in wealthier, whiter Census tracts
- Transition window undermined goals of the policy

Thank you!

Email questions and comments to sarah.baker@berkeley.edu

References I

- Amornsiripanitch, N. (2020). Why are residential property tax rates regressive? [Available at SSRN 3729072](#).
- Avenancio-León, C. F. and Howard, T. (2022). The assessment gap: Racial inequalities in property taxation. [The Quarterly Journal of Economics](#), 137(3):1383–1434.
- Bernheim, B. D., Lemke, R. J., and Scholz, J. K. (2004). Do estate and gift taxes affect the timing of private transfers? [Journal of Public Economics](#), 88(12):2617–2634.
- Escobar, S., Ohlsson, H., and Selin, H. (2019). Taxes, frictions and asset shifting-when swedes disinherited themselves. Technical report, Working Paper.
- Ferreira, F. (2010). You can take it with you: Proposition 13 tax benefits, residential mobility, and willingness to pay for housing amenities. [Journal of Public Economics](#), 94(9-10):661–673.
- Glogowsky, U. (2021). Behavioral responses to inheritance and gift taxation: Evidence from germany. [Journal of Public Economics](#), 193:104309.
- Goupille-Lebret, J. and Infante, J. (2018). Behavioral responses to inheritance tax: Evidence from notches in france. [Journal of Public Economics](#), 168:21–34.
- House, C. L. and Shapiro, M. D. (2008). Temporary investment tax incentives: Theory with evidence from bonus depreciation. [American Economic Review](#), 98(3):737–768.
- Joulfaian, D. (2005). Choosing between gifts and bequests: How taxes affect the timing of wealth transfers. [Journal of Public Economics](#), 89(11-12):2069–2091.
- Joulfaian, D. and McGarry, K. (2004). Estate and gift tax incentives and inter vivos giving. [National Tax Journal](#), 57(2):429–444.
- Kopczuk, W. (2013). Taxation of intergenerational transfers and wealth. In [Handbook of public economics](#), volume 5, pages 329–390. Elsevier.
- Kopczuk, W. (2016). Us capital gains and estate taxation: a status report and directions for a reform.
- Kopczuk, W. and Slemrod, J. (2000). [The impact of the estate tax on the wealth accumulation and avoidance behavior of donors](#). National Bureau of Economic Research.
- Levy, A. (2021). The tax elasticity of capital gains: Evidence from millions of housing sales.
- Locks, G. (2024). Behavioral responses to inheritance taxes: Evidence from brazil.
- Mas-Montserrat, M. (2019). What happens when dying gets cheaper? behavioural responses to inheritance taxation.
- McGarry, K. (2001). The cost of equality: unequal bequests and tax avoidance. [Journal of Public Economics](#), 79(1):179–204.
- Msall, L. and Næss, O.-A. (2025). Never-realized capital gains.
- Piketty, T. and Saez, E. (2013). A theory of optimal inheritance taxation. [Econometrica](#), 81(5):1851–1886.
- Poterba, J. (2001). Estate and gift taxes and incentives for inter vivos giving in the us. [Journal of Public Economics](#), 79(1):237–264.
- Wasi, N. and White, M. J. (2005). Property tax limitations and mobility: Lock-in effect of california's proposition 13. [Brookings-Wharton Papers on Urban Affairs](#), pages 59–97.

Appendix

Property Taxes vs. Capital Gains

[Back](#)

Transfer Before Prop 19 < Transfer At Death

Property Taxes Until Parent's Death

$$\sum_{t=0}^{t=d} \rho^t \times \tau_p \times TV_0 \times 1.02^t$$

Property Taxes from Death to Sale

$$+ \sum_{t=d}^{t=\text{sale}} \rho^t \times \tau_p \times TV_0 \times 1.02^t$$

Capital Gains Taxes at Sale

$$+ \rho^t \times \tau_{cg} \times [MV_0(1+a)^t - PP]$$

Property Taxes Until Parent's Death

$$\sum_{t=0}^{t=d} \rho^t \times \tau_p \times TV_0 \times 1.02^t$$

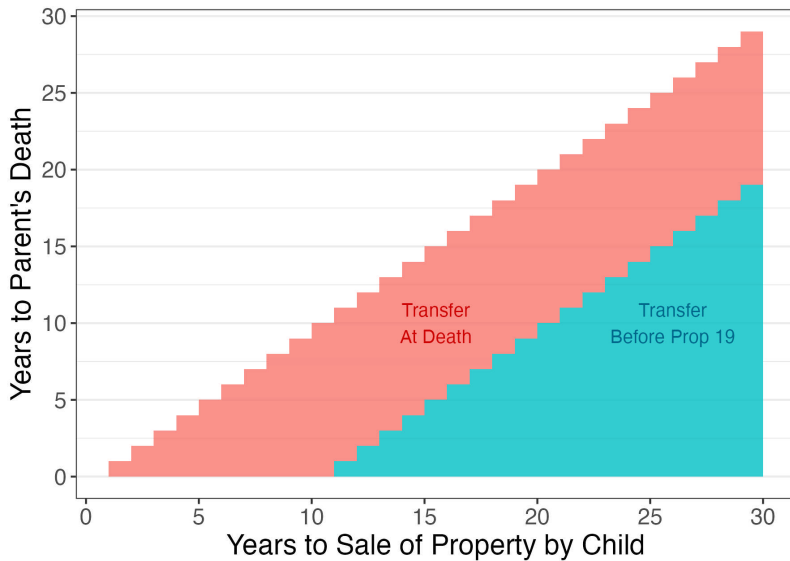
Property Taxes from Death to Sale

$$+ \sum_{t=d}^{t=\text{sale}} \rho^t \times \tau_p \times [MV_0(1+a)^d] \times 1.02^{t-d}$$

Capital Gains Taxes at Sale

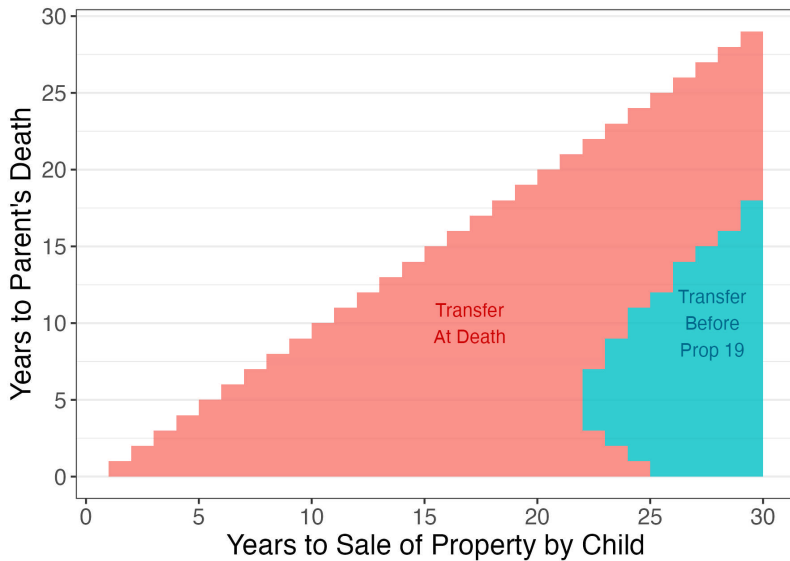
$$+ \rho^t \times \tau_{cg} \times [MV_0(1+a)^t - MV_0(1+a)^d]$$

Property Taxes vs. Capital Gains [Back](#)



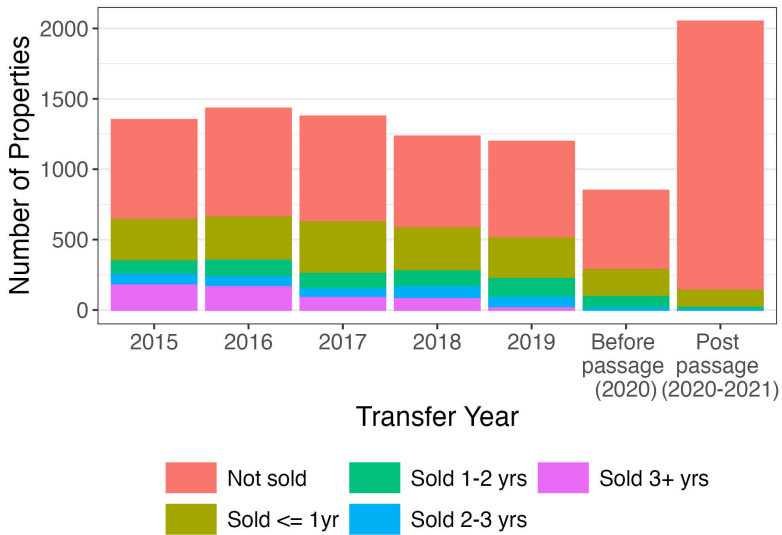
■ Property held longer by child / parent's death sooner $\Rightarrow$ transfer now

Property Taxes vs. Capital Gains, Primary to Primary

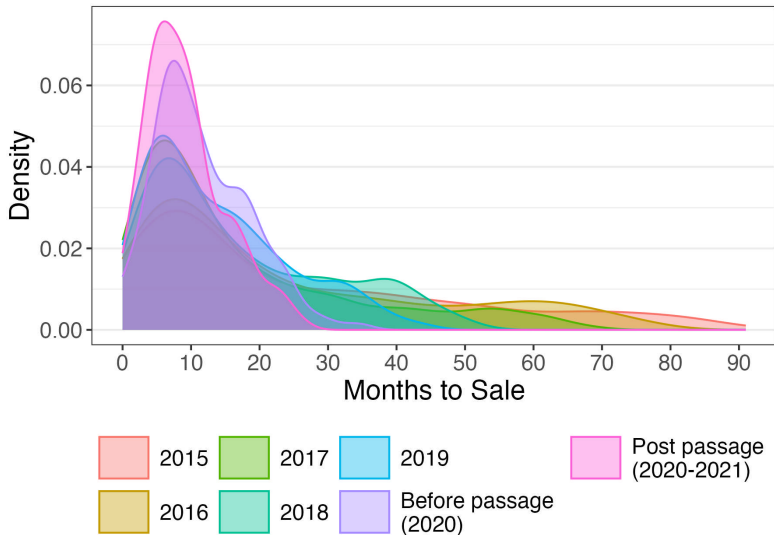
[Back](#)

■ \$1m taxable value exclusion for primary-to-primary home transfer

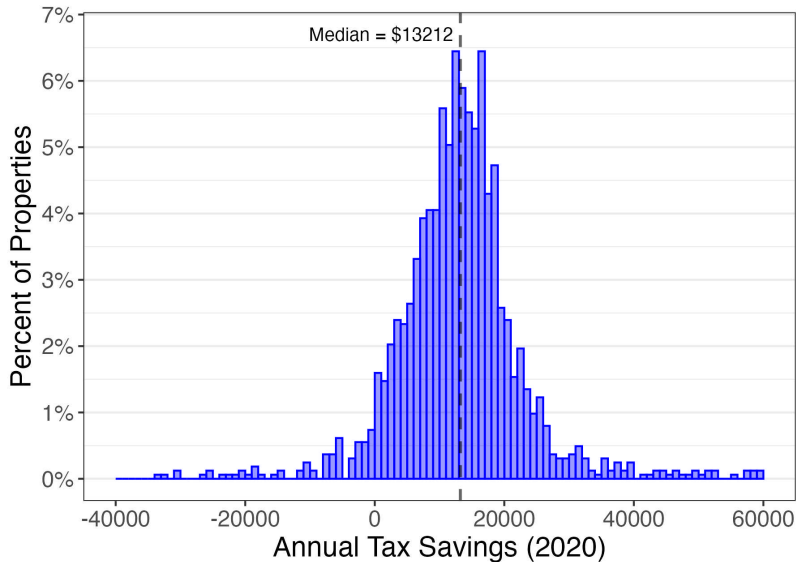
Sales of Transferred Properties in SF

[Back](#)

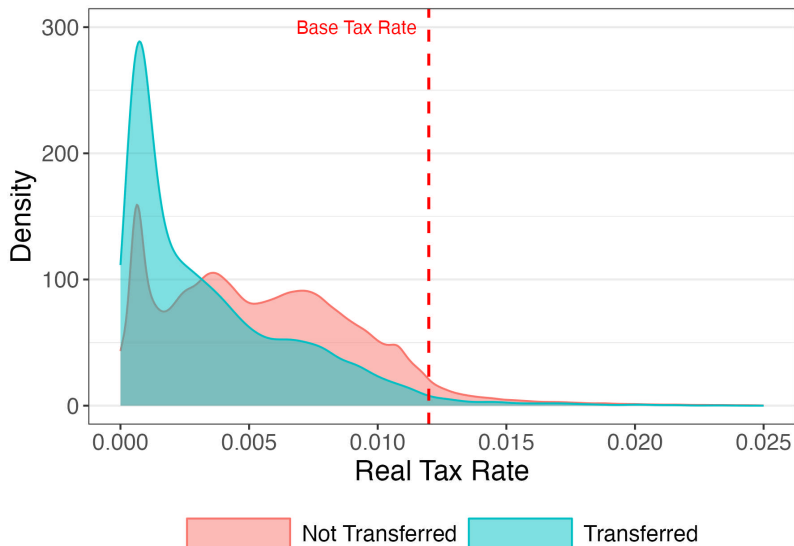
Time to Sale for Sold Properties in SF

[Back](#)

Potential Annual Tax Savings in 2020 (SF All) [Back](#)

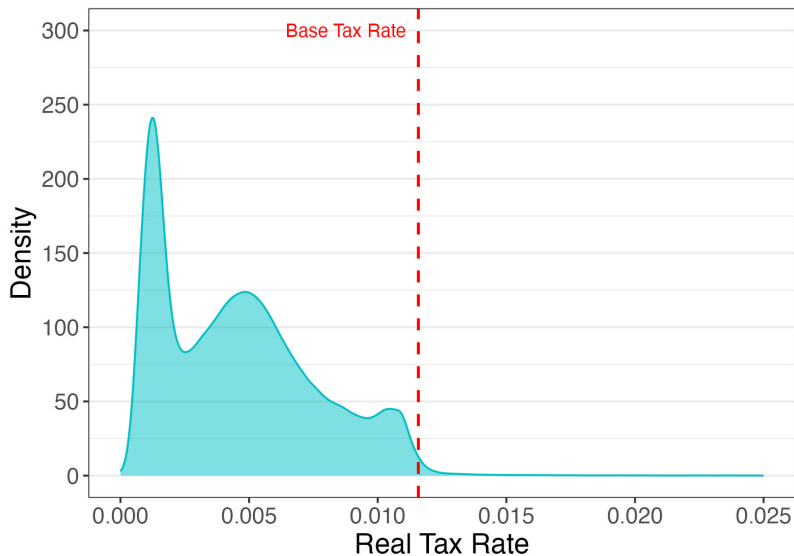


Average Effective Tax Rate in SF



Very low **real** tax rates, particularly for long-held (transferred)

Average Effective Tax Rate in LA



■ Very low **real** tax rates

Additional Elasticity Calculations [Back](#)

Elasticity w.r.t. the raw change in claims:

$$e_{Claims} = \frac{Claims_W - Claims_C}{Claims_C} \times \frac{1}{\log(1 - \tau_0) - \log(1 - \tau_1)}$$

Elasticity w.r.t. the change in Market Value (MV) of transferred homes:

$$e_{MV} = \frac{MV_W - MV_C}{MV_C} \times \frac{1}{\log(1 - \tau_0) - \log(1 - \tau_1)}$$

Elasticity w.r.t. "Total Housing Stock":

$$e_{THS} = \frac{Claims_W - Claims_C}{TotalHousingStock} \times \frac{1}{\log(1 - \tau_0) - \log(1 - \tau_1)}$$

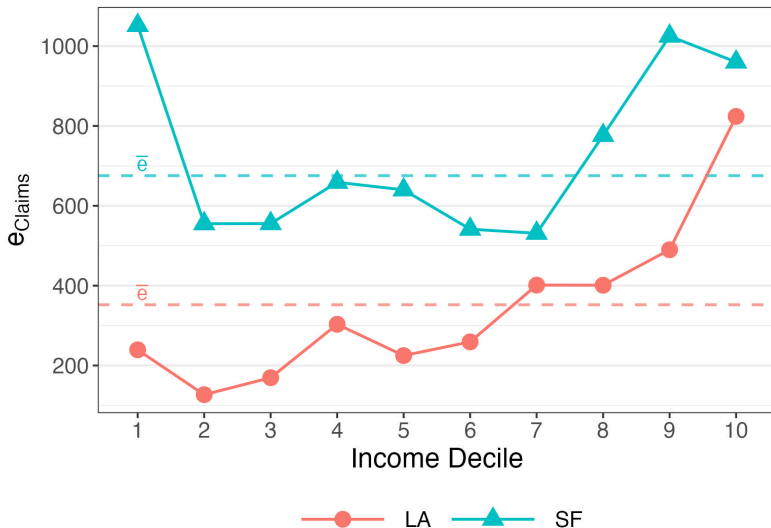
Additional Elasticity Calculations [Back](#)

Table: Elasticity of Transfer Claims to Tax Rate Change

County	τ			Claims		Market Value		e		
	Sample	Control	Window	Control	Window	Control	Window	Claims	Market Value	THS
SF	0.63	0.43	0.47	551	3294	0.96	6.48	675	781	1.93
LA	0.45	0.63	0.45	1100	3892	0.91	5.62	352	714	0.18

- Relative to control window, $e_{MV} > 700$
- Movement of total housing stock is still large in SF $e = 1.9$
 - ▶ Smaller in LA
 - ▶ Literature estimates: $e \in [0.1, 0.2]$

Elasticity of Claims by Income

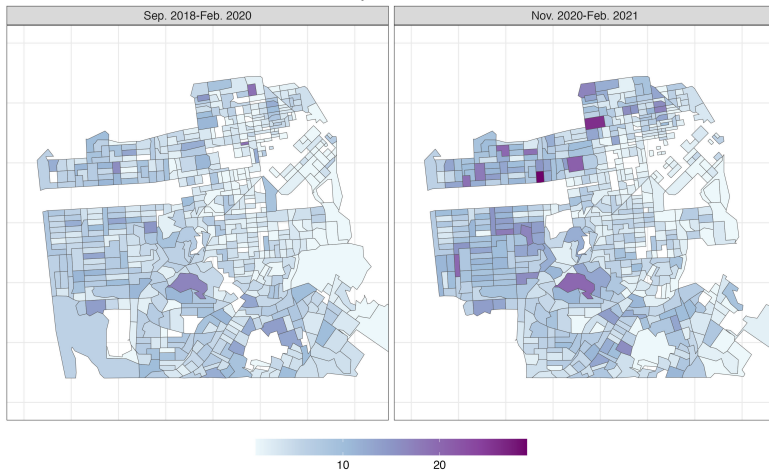
[Back](#)

■ Elasticity highest in highest income deciles

Geographic Concentration in Window in SF

[Back](#)

Number of Parent-Child Transfers in SF County

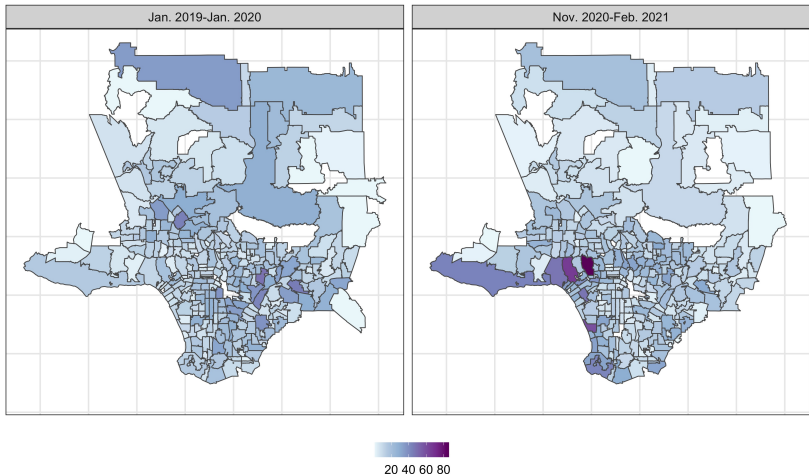


■ (Slightly?) Richer tracts in 2020: Presidio, Marina, Sunset, Richmond

Geographic Concentration in Window in LA

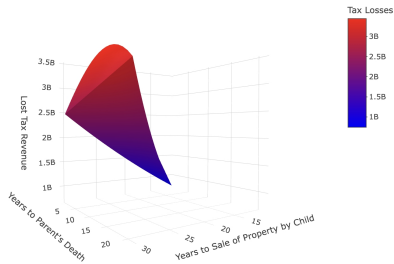
[Back](#)

Number of Parent-Child Transfers in LA County

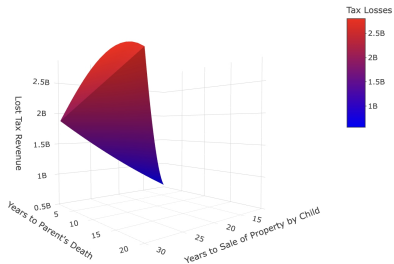


■ Richer tracts in 2020: Malibu, Pacific Palisades, Beverly Hills, Redondo Beach

Full Range of Estimated Tax Revenue Losses

[Back](#)

(a) San Francisco County



(b) Los Angeles County